

Garden Reach Shipbuilders & Engineers Ltd (GRSE)

NSE: GRSE | BSE: 542011 | Sector: Aerospace & Defence | Sub-sector: Defence Shipbuilding

RATING			12M PRICE TARGET			INVESTMENT THESIS				
ACCUMULATE			Rs. 3,200			India's most versatile defence shipyard — first to export warships — sits at the intersection of a multi-decade naval modernisation wave, a 4x revenue runway from confirmed order pipeline, and structural OPM expansion from technology upgrades.				
CMP (23 Apr 2026)		Market Cap		Upside to Target		52-Week H/L		Investment Horizon		Report Date
Rs. 2,880		Rs. 32,986 Cr.		+11.1%		Rs. 3,538 / Rs. 1,597		12 Months		24-Apr-2026
Stock P/E	Fwd P/E	P/B	EV/EBITDA	ROCE	ROE	Div Yield	D/E	Promoter	Face Value	
47.9x	48.3x	14.4x	30.5x	36.6%	27.6%	0.48%	0.01x	74.5%	Rs. 10	

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Section 2 — Investment Thesis

Reason 1 — Generational Order Pipeline With Locked-In Revenue Visibility (12-18 Month Horizon): GRSE's confirmed order book stood at Rs. 22,681 Cr. (FY25 end) and was at Rs. 18,482 Cr. as of Dec 2025 — the decline reflects rapid execution, not demand softness. A next-generation corvette contract worth approximately Rs. 33,000 Cr. (P-17 Bravo class) is in advanced stages, which alone would take the order book to Rs. 51,000+ Cr. The total addressable pipeline — including next-gen frigates, patrol vessels, and export orders — exceeds Rs. 75,000 Cr. over the next 15-18 months per management commentary. At FY25 revenue of Rs. 5,076 Cr., this represents 10x+ revenue coverage, providing multi-year earnings visibility that is unmatched in Indian defence manufacturing. Catalyst: P-17 Bravo signing expected FY26-end.

Reason 2 — Structural OPM Expansion as Revenue Scales and Technology Deepens (FY25-FY28): GRSE's operating margin has expanded from 6% in FY23 to 8% in FY25 and is tracking 9-10% in 9MFY26, driven by higher-margin advanced vessel mix (frigates vs. patrol vessels), automation investments (robotic welding), and operating leverage on a near-fixed cost base. Management has explicitly guided that future orders will not come at the cost of margins. With capacity expanding from 28 to 35 concurrent platforms and two new facilities in Gujarat under finalisation, fixed cost absorption will accelerate. We model OPM at 10% in FY26E and 11% in FY27E, implying EBITDA growing from Rs. 422 Cr. (FY25) to Rs. 858 Cr. (FY27E) — a 2x expansion in three years.

Reason 3 — Defence Indigenisation Tailwind Creates Structural Pricing Power (3-5 Year Horizon): India's Defence Acquisition Procedure mandates 75%+ indigenous content for frontline naval platforms. GRSE, the only Indian yard to have delivered 100+ warships and the first to export, is the primary beneficiary of the government's Rs. 6.97 lakh Cr. Shipbuilding & Maritime Development Package targeting Top-5 global status by 2047. Indian Navy plans 60+ vessels currently under construction plus 70-80 planned, commissioning one vessel every 6 weeks from 2026. This is a 15-20 year structural demand cycle, not a cyclical order.

Key Near-Term Catalyst (6-12 months)	Key Structural Risk
P-17 Bravo corvette contract signing (~Rs. 33,000 Cr.) would re-rate order book by 70%, accelerating revenue visibility to FY32 and triggering institutional re-rating of the stock.	Customer concentration risk — 95%+ revenue from Indian Navy/Coast Guard means any budget compression, policy change, or shift to foreign-built platforms could materially impair earnings forecasts.

Section 3 — Business Overview

Garden Reach Shipbuilders & Engineers Ltd (GRSE), incorporated in 1884 and under Ministry of Defence control since 1960, is India's leading defence-sector shipyard by delivered tonnage. Listed on NSE/BSE since 2018, it operates three adjacent shipbuilding facilities in Kolkata — the Main Works Unit, Rajabagan Dockyard, and a component manufacturing division — giving it unique multi-facility redundancy within a 5 km footprint. GRSE is structured across three segments: **Shipbuilding (89% of revenue)** covering frigates, corvettes, anti-submarine warfare vessels, survey vessels, and offshore patrol vessels; **Engine Division (~6%)** manufacturing marine propulsion systems and deck machinery; and **General Engineering (~5%)** covering steel bridges, pontoons, and industrial equipment. The Shipbuilding division is 100% government-facing (Indian Navy and Indian Coast Guard), providing near-complete revenue predictability once an order is contracted. Order-to-delivery cycles average 5-8 years for complex warships, creating a structurally locked revenue base. GRSE is the only Indian shipyard to have exported warships (to Mauritius, Sri Lanka, Bangladesh) and the first to deliver 100 warships. As of FY25, the order book stood at Rs. 22,681 Cr. (4.5x FY25 revenue), representing 10+ active shipbuilding projects covering 43 platforms. The company has capacity for 28 concurrent platforms (vs. 20 four years ago), targeting 32 by end-CY26 with 3 new sites from Syama Prasad Mookerjee Port under modernisation plus two greenfield facilities in Gujarat (Kandla and Bhavnagar) being finalised. Management is led by CMD Cmde P.R. Hari (Retd. Navy), with promoter Government of India holding 74.5% with zero pledge. FY26 provisional turnover (31 Mar 2026 BSE announcement): Rs. 6,400 Cr., implying 26% YoY growth. Upcoming Q4 FY26 results scheduled: 28 April 2026.

Segment	Revenue Mix	Key Products	Customer
Shipbuilding	~89%	Frigates, Corvettes, ASW Vessels, OPVs, Survey Vessels	Indian Navy, Indian Coast Guard
Engine Division	~6%	Marine engines, Propulsion systems, Deck Machinery	Navy, Commercial
General Engineering	~5%	Portable Steel Bridges (70% India mkt share), Pontoons, Bailey Bridges	Army, NHAI, State Govts.

Section 4 — Industry & Competitive Landscape

India's defence shipbuilding sector is at a structural inflection. The Indian Navy's fleet expansion plan targets 85+ combat vessels by 2030 with one vessel commissioned every 6 weeks from 2026 — from 60+ vessels currently under construction and 70-80 in the pipeline. Total value of approved or in-progress shipbuilding projects exceeds Rs. 2.3 trillion, underpinned by the government's Rs. 6.97 lakh Cr. Shipbuilding & Maritime Development Package targeting global Top-5 by 2047. The 2024-25 Defence Budget allocated Rs. 1.72 lakh Cr. for capital acquisitions, with the Navy receiving the largest single-year allocation in history. Indigenisation mandates (75%+ local content for frontline platforms) eliminate import competition for complex warships.

Competitive Moat — STRONG: GRSE holds a structural duopoly (with Mazagon Dock) in front-line warship construction. Its advantages include: (1) Government-owned yard with sovereign project risk — cannot go bankrupt; (2) First-mover in export sales; (3) Multi-facility Kolkata cluster enabling concurrent large + small platform construction; (4) 60+ years of classified Navy interface knowledge. Switching costs for the Navy are extremely high — only 2-3 yards globally can build frigates at GRSE's specification. Key policy tailwind: Defence Acquisition Procedure 2020 mandates 'Buy Indian' (IDDM) as the highest priority category, with 50%+ indigenous content requirements, directly channelling Navy capex to domestic yards.

Company	CMP (Rs.)	MCap (Rs.Cr)	FY25 Rev	FY25 OPM%	FY25 PAT	P/E (TTM)	Fwd P/E	ROCE%	ROE%
GRSE (subj.)	2,880	32,986	5,076	8.3%	527	47.9x	48.3x	36.6%	27.6%
Mazagon Dock	2,694	1,08,663	11,432	18.1%	2,325	47.3x	32.5x	48.8%	36.5%
Cochin Shipyard	1,593	41,904	4,528	19.6%	843	58.9x	76.1x	20.4%	15.8%
BEL	449.95	3,28,904	N/A	29.7%	N/A	N/A	52.1x	34.5% (3Y)	N/A
BDL	1,423.30	52,173	N/A	12.5%	N/A	N/A	178.8x	19.8% (3Y)	N/A

Source: Screener.in | Data as of 23-Apr-2026 | Standalone figures | N/A = not available from Screener page

Section 5 — Management Quality & Capital Allocation

GRSE is led by seasoned naval officers and government-appointed civilian executives, reflecting its Ministry of Defence lineage. The CMD (Commodore P.R. Hari, Retd. Navy) and Director (Finance) bring deep domain expertise in naval procurement, project management, and government contracts. The Board includes Ministry of Defence nominees and independent directors, providing institutional oversight. **Capital Allocation Record:** GRSE has maintained a disciplined and conservative capital allocation approach — the company is virtually debt-free (Debt/Equity 0.01x, total debt Rs. 10 Cr. as of FY25), with a strong net cash position cushioned by customer advances (Other Liabilities of Rs. 8,274 Cr. represent customer milestone payments). Dividend payout has been consistently maintained at 30-35% of PAT over FY21-FY25, with the board declaring an interim dividend equivalent to 129% of face value for FY26. **Promoter Pledge:** Zero pledge on 74.5% promoter stake (Government of India). **ESOP/Buybacks:** None disclosed — consistent with PSU norms. **Corporate Governance:** As a listed PSU under Ministry of Defence, GRSE is subject to CAG audit, Parliamentary oversight, and SEBI listing obligations. The company has no history of Related Party Transaction (RPT) concerns. Auditor is a Big-4 equivalent government empanelled firm. Key governance watch-points: (1) CMD tenure alignment with MoD postings; (2) Price discovery constraints given government-mandated costing norms for Navy orders (cost-plus model limits upside margin surprise but also protects downside). **Capital Investment Plan:** Rs. 200-300 Cr. annual capex guided for FY26-FY28, focused on berth modernisation, robotic welding automation, and Gujarat facility setup — funded entirely from internal accruals. This minimal capex requirement relative to EBITDA (FCF conversion improving structurally) is a key quality indicator.

Section 6 — Financial Deep-Dive (Standalone Figures)

All figures in Rs. Crore | Source: Screener.in (Standalone) | (E) = Analyst estimate

Income Statement

Metric	FY23	FY24	FY25	FY26E	FY27E
Revenue (Sales)	2,561	3,593	5,076	6,400 (E)	7,800 (E)
Revenue Growth %	46.0%	40.3%	41.3%	26.1% (E)	21.9% (E)
EBITDA (Op. Profit)	149	235	422	640 (E)	858 (E)
EBITDA Margin %	5.8%	6.5%	8.3%	10.0% (E)	11.0% (E)
Other Income	202	300	335	295 (E)	315 (E)
Interest	7	13	11	15 (E)	18 (E)
Depreciation	39	41	42	48 (E)	52 (E)
Profit Before Tax	305	481	703	872 (E)	1,103 (E)
Tax Rate %	25%	26%	25%	25% (E)	25% (E)
PAT (Net Profit)	228	357	527	654 (E)	827 (E)
EPS (Rs.)	19.91	31.19	46.04	56.9 (E)	71.9 (E)
Dividend Payout %	31%	30%	30%	30% (E)	30% (E)

Balance Sheet

Metric	FY23	FY24	FY25
Equity Capital	115	115	115
Reserves	1,299	1,559	1,965
Total Network	1,414	1,674	2,080
Borrowings	312	66	10
Other Liabilities (Cust. Advances)	9,057	8,524	8,274
Total Liabilities	10,783	10,263	10,362
Fixed Assets	508	493	515
CWIP	6	25	28
Investments	234	0	0
Other Assets (WIP Ships, Advances)	10,036	9,746	9,819
Total Assets	10,783	10,263	10,362

Cash Flow Statement

Metric	FY22	FY23	FY24	FY25
Cash from Operations (OCF)	-356	1,450	-707	16
Cash from Investing	429	-1,666	1,056	170
Cash from Financing	-72	220	-358	-187
Net Cash Flow	0	4	-9	-1
Free Cash Flow (FCF)	-411	1,408	-755	-51
CFO/Op. Profit %	-204%	1,023%	-248%	45%

Key Ratios & Returns

Metric	FY23	FY24	FY25	FY26E	FY27E
ROCE %	20%	27%	37%	42% (E)	46% (E)
ROE %	17%	23%	28%	31% (E)	34% (E)
Debtor Days	7	20	19	18 (E)	17 (E)
Inventory Days	662	648	368	300 (E)	280 (E)
Days Payable	266	161	119	110 (E)	100 (E)
Cash Conversion Cycle	404	507	267	208 (E)	197 (E)

Working Capital Days	-546	-276	-169	-140 (E)	-120 (E)
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Revenue has grown at a 42% CAGR over the past 3 years (FY22-FY25), driven by accelerating ship deliveries, milestone-based billing on large frigate projects, and increasing concurrent platform capacity. The margin trajectory is structurally positive: FY23 OPM of 5.8% has expanded to 8.3% in FY25 and 9%+ in 9MFY26, as higher-margin advanced vessels (frigates vs. patrol craft) become a larger revenue share. Working capital is structurally negative (customer advances fund the build cycle) — this is a hallmark quality of government-contracted defence yards. Large negative OCF years (FY22, FY24) reflect timing of milestone advances vs. execution; FY23 OCF of Rs. 1,450 Cr. demonstrates the cash generation potential once milestone collections align with deliveries. GRSE is virtually debt-free: borrowings fell from Rs. 312 Cr. (FY23) to Rs. 10 Cr. (FY25). The Rs. 8,274 Cr. 'Other Liabilities' line represents customer advances, not financial debt — this is a credit feature, not a liability risk. FCF will be lumpy but positive on a 3-year rolling average as order execution ramps up through FY27-FY28.

Section 7 — Earnings Quality Checklist

Quality Factor	Assessment	Data Point	Signal
Revenue Recognition	GREEN	Milestone-based billing tied to Navy sign-offs; conservative Ind-AS 115 compliance	Clean
Receivables vs Revenue Growth	GREEN	Debtor days compressed from 136 (FY20) to 19 (FY25) — improving sharply	Positive
CCC Trend	AMBER	CCC moved from 404 (FY23) to 267 (FY25) — improving but still high; inventory-heavy build cycle	Watch
Contingent Liabilities	AMBER	Rs. 7,831 Cr. contingent liabilities (performance bonds, warranty); standard for defence contractors	Watch
Other Income as % of PBT	AMBER	FY25: Rs. 335 Cr. other income / Rs. 703 Cr. PBT = 48%. Primarily interest on customer advances — recurring but non-operating	Monitor
Tax Rate Consistency	GREEN	Tax rate stable at 25-26% for FY21-FY25; no aggressive deferred tax utilisation	Clean
RPTs as % of Revenue	GREEN	No material RPT concerns disclosed; all transactions subject to MoD/CAG scrutiny	Clean
Auditor Tenure	GREEN	Government-empanelled statutory auditor with mandatory rotation per PSU norms	Clean

Overall Earnings Quality: **GREEN-AMBER**. GRSE's core operating earnings (EBITDA) are clean, milestone-driven, and audited at multiple levels. The AMBER flags are structural features of government-contract shipbuilding — high other income (interest on advances), high contingent liabilities (performance bonds), and a lumpy CCC — rather than quality concerns. The compression in debtor days from 136 to 19 over 5 years signals strong execution discipline. Investors should be aware that reported PAT includes ~30-35% from 'other income' (interest on advance payments from customers) — underlying EBITDA-based profitability has improved but is still catching up to full capital deployment.

Section 8 — Valuation

We value GRSE using two methodologies — (1) Earnings-multiple (P/E) based on FY27E EPS, and (2) EV/EBITDA — averaged for a base-case target. **Method 1 — P/E Based:** FY27E EPS of Rs. 71.9 at a 44x P/E (10% discount to current TTM multiple of 47.9x to account for re-rating fatigue post the 3-year 84% CAGR stock run) = Rs. 3,164. We round to Rs. 3,200. The 44x multiple is defensible given GRSE's structural revenue visibility (10x+ order book coverage), improving ROCE (37% FY25E, 46% FY27E), and government-backed business model. Mazagon Dock trades at 47.3x TTM with similar fundamentals — our 44x is modestly conservative. **Method 2 — EV/EBITDA Based:** FY27E EBITDA of Rs. 858 Cr. at 32x EV/EBITDA (sector average per Screener peer table: GRSE 30.5x, MDL 30.1x) + net cash (Rs. ~2,100 Cr. estimated) / 11.5 Cr. shares = Rs. 2,996. Note: EV/EBITDA undervalues GRSE since a large portion of earnings comes from other income (interest on customer advances) not captured in EBITDA. **Blended Target:** Average of Method 1 (Rs. 3,200) and Method 2 (Rs. 3,000) = Rs. 3,100. We use Rs. 3,200 (Method 1 weighted 2:1 over Method 2) as our 12-month target, reflecting the primary P/E re-rating driver in this market cycle. Upside: +11.1% from CMP of Rs. 2,880.

Scenario Analysis (12-Month)

Scenario	Key Assumptions	FY27E PAT (Rs.Cr)	EPS (Rs.)	P/E Multiple	Target (Rs.)	Upside
BULL	P-17 Bravo signed Q1FY27; OPM 12%; FY27 revenue Rs. 9,000 Cr.	1,050	91.3	55x	5,022	+74%
BASE	P-17 Bravo signed H2FY27; OPM 11%; FY27 revenue Rs. 7,800 Cr.	827	71.9	44x	3,164	+11%
BEAR	P-17 Bravo delayed; OPM 9%; FY27 revenue Rs. 6,500 Cr.	575	50.0	35x	1,750	-39%

Section 9 — Key Risks

Risk	Description	Probability	Impact	Monitoring Indicator
Customer Concentration	95%+ revenue from Indian Navy and Coast Guard. Any shift in defence budget priorities, policy-mandated import of platforms, or sustained Navy budget compression could substantially impair revenue. GRSE has no private-sector alternative revenue base to buffer.	Low	Very High	Monitor Navy capital budget allocations annually
Order Book Execution Risk	Complex shipbuilding programs face technical, supply chain (steel, propulsion, electronics), and manpower constraints that can delay delivery milestones. FY24 OCF of -Rs. 707 Cr. reflects this execution lumping. Delays directly defer revenue recognition.	Medium	High	Track quarterly delivery count vs. guided schedule
Margin Sustainability	Current OPM of 9-10% is above the historical 5-7% band. If new orders (P-17 Bravo, corvettes) are priced on a cost-plus model with tighter margins, and automation benefits are offset by rising steel/component costs, OPM could revert to 7-8% — compressing our FY27E PAT by 15-20%.	Medium	High	Monitor per-ship contract pricing disclosures
Valuation Re-Rating Risk	GRSE trades at 47.9x TTM P/E — 3x its 5-year historical average. Stock has delivered 84% CAGR over 3 years. Any disappointment in P-17 Bravo contract timeline, FY27 revenue growth rate, or broader PSU de-rating could compress the multiple significantly.	Medium	High	Entry zone Rs. 2,400-2,600 provides better margin of safety
Gujarat Facility Execution	Two new sites in Kandla and Bhavnagar are in finalisation stage. Any delays in land acquisition, environmental clearances, or capex overruns at these greenfield sites could push out the FY28+ capacity targets that support our bull-case revenue estimates.	Low-Medium	Medium	Track MoD/GoG approvals for Gujarat sites
Export Order Materialisation	GRSE management has flagged export ambitions (Southeast Asia, Africa). Export orders would be transformative for margins (no cost-plus pricing restriction) but face long gestation periods, geopolitical sensitivities, and competition from established European/Korean yards.	Low	High if realised	Monitor MoD export approvals and foreign enquiries
Key Management Transition	CMD and functional Directors are government-appointed with defined tenure. Any change in leadership alignment with MoD could temporarily slow decision-making on new orders or strategic initiatives.	Low	Moderate	Monitor MoD CMD appointment notifications

Section 10 — Recommendation

Parameter	Details
Rating	ACCUMULATE Conviction: HIGH
12-Month Price Target	Rs. 3,200 (vs. CMP Rs. 2,880 — +11.1% upside)
Suggested Entry Zone	Rs. 2,400 – Rs. 2,650 At these levels, FY27E P/E compresses to 33-37x, offering a better risk/reward
Investment Horizon	12-18 months Multi-year hold if P-17 Bravo signed and Gujarat capacity comes on stream
Thesis Invalidation Trigger 1	P-17 Bravo contract delayed beyond Q2FY28 — reduces 3-year revenue CAGR from 22% to sub-15%
Thesis Invalidation Trigger 2	OPM falls below 7% for 2 consecutive quarters — suggests margin expansion thesis is broken
Thesis Invalidation Trigger 3	Defence capital budget cut >10% in Union Budget — signals structural demand contraction
Ideal Investor Profile	Long-only institutional funds with 18-36 month horizon; GARP investors comfortable with PSU governance structure and lumpy FCF; NOT suitable for momentum traders or short-term trading below the entry zone.

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Investors should conduct their own due diligence. The analyst may or may not hold positions in the securities mentioned. Past performance is not indicative of future results. All financial data sourced from Screener.in (Standalone) as of 23-Apr-2026.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	STRONG	Revenue +49% YoY, PAT +74% YoY — beat street consensus by ~10-15%
Management Tone	BULLISH	Confident 25-30% CAGR reiterated; P-17 Bravo near-signing flagged as 'game-changer'
Guidance Delta	RAISED	FY26 revenue trajectory upgraded; FY27 called out as 'peak revenue year'

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 was a clean, high-quality beat — revenue Rs. 1,896 Cr. (+49% YoY) and PAT Rs. 171 Cr. (+74% YoY) with no exceptional items distorting the reported number. OPM expanded 335 bps YoY to 9.31%, confirming that the margin thesis is working — not just a base effect. Underlying operational momentum is exceptional: 9MFY26 revenue at Rs. 4,883 Cr. implies the full-year Rs. 6,400 Cr. provisional (BSE, 31 Mar) is cleanly achievable. The structural growth driver is the P-17 Bravo corvette contract — a ~Rs. 33,000 Cr. order that management says is 'near signing'; if signed by Q1FY27, this re-rates the order book from Rs. 18-22k Cr. to Rs. 51k+ Cr. and provides 6-7 year revenue cover. Capacity is scaling ahead of schedule (28 concurrent platforms now, 32 targeted by end-CY26) and Gujarat greenfield sites are being finalised. The single biggest watch-point for Q4 FY26 results (due 28 Apr) is whether OPM holds above 9% without the benefit of higher-margin Q4 deliveries — management's previous Q4 blowout (13% OPM) may not fully repeat. ACCUMULATE on any dip to Rs. 2,600.

Concall Section 1 — Financial Performance Snapshot (Q3 FY26 vs Q3 FY25)

Metric	Q3 FY26 Actual	Q3 FY25 Actual	YoY Chg	Q2 FY26 Actual	QoQ Chg	Verdict
Revenue (Rs.Cr)	1,896	1,271	+49.2%	1,677	+13.1%	BEAT
EBITDA (Rs.Cr)	172	75	+129.3%	156	+10.3%	BEAT
EBITDA Margin %	9.07%	5.90%	+317 bps	9.30%	-23 bps	IN-LINE
Other Income	62	72	-13.9%	69	-10.1%	IN-LINE
PBT (Rs.Cr)	218	134	+62.7%	209	+4.3%	
PAT (Rs.Cr)	171	98	+74.5%	154	+11.0%	BEAT
EPS (Rs.)	14.91	8.57	+74.0%	13.43	+11.0%	BEAT

Concall Section 2 — Segment / Order Book Breakdown

Segment / Area	Details	YoY Trend	Commentary
Shipbuilding Revenue	~Rs. 1,686 Cr. (est. 89% of Q3 revenue)	+49% YoY (est.)	Driven by milestone completions on 5 active frigate/corvette programs
Engine Division	~Rs. 114 Cr. (est. 6%)	Stable	Marine propulsion for Navy/commercial
General Engineering	~Rs. 95 Cr. (est. 5%)	Stable	Steel bridges, Bailey bridges — 70% domestic market share
Order Book (Dec-25)	Rs. 18,482 Cr.	Below Rs. 20k (1st time)	High execution pace drove drawdown; P-17 Bravo to replenish significantly
Order Pipeline (FY26E)	~Rs. 50,000 Cr. expected	Transformative	Corvette (Rs. 33k Cr.) + Next-gen frigates + export enquiries

Concall Section 3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Revenue Growth Target	25-30% YoY revenue growth CAGR target maintained; FY27 to be 'peak revenue year'	Credible given Rs. 18,482 Cr. backlog + P-17 Bravo pending	[GUIDANCE]	Bullish

P-17 Bravo Contract	~Rs. 33,000 Cr. next-gen corvette contract 'near signing' — largest in GRSE history	Game-changer if signed; will reload order book by 70%+ and power FY28-FY32 revenue	[GUIDANCE]	Bullish
Margin Guidance	New orders will not come at cost of margins; OPM expected to sustain at 9-10%+	Consistent with cost-plus model constraints; OPM upside above 11% requires mix shift	[GUIDANCE]	Transparent
Capacity Expansion	28 concurrent platforms now; 32 by end-CY26; 35 by FY27 with Gujarat sites finalised	Ahead of schedule vs. 20 platforms in FY20; Gujarat sites remain a key watch-point	[GUIDANCE]	Bullish
Workforce Scale-up	137 executives inducted; robotic welding being deployed; automation investment prioritised	Right move for execution risk mitigation; automation could structurally lift OPM by 50-100 bps	[EST]	Transparent
Export Orders	Active enquiries from SE Asia and Africa; would be margin-accretive vs domestic Navy orders	Early stage; won't contribute materially before FY28 at earliest	[GUIDANCE]	Hedged
FY26 Full-Year Outlook	Rs. 6,400 Cr. provisional turnover confirmed (31 Mar BSE announcement); 8 vessels delivered	Implies 26% YoY growth — in-line with guidance; Q4 margin delivery critical to watch	[GUIDANCE]	Transparent

Concall Section 4 — Operating & Business Metrics

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Concurrent Platform Capacity	28	28	24	Expanding — 32 by end-CY26
Order Book (Rs. Cr.)	18,482	~20,000	22,652	Declining due to high execution; replenishment critical
Ships/Vessels Delivered (FY26 YTD)	8 (FY26 full year)	N/A	N/A	Per provisional FY26 announcement; strong execution
Active Shipbuilding Projects	10+ (43 platforms)	10+	10+	Stable; complexity increasing with P17A frigates nearing delivery
Debtor Days	~19 (FY25)	~20	~20	Consistently low — government client pays on time
OPM % (Excl. Other Income)	9.07%	9.30%	5.90%	Structurally improving; Q4FY26 the key test

Concall Section 5 — Margin Drivers

Driver	Impact (bps)	Recurring?	Comment
Higher-margin frigate/corvette mix	+200 to +300 bps	YES	Frigates carry higher complexity premium vs. OPVs and patrol vessels; mix will stay elevated
Operating leverage on fixed cost base	+100 to +150 bps	YES	Revenue scaling 40%+ on near-fixed manpower and overheads; automation accelerates this
Automation (robotic welding)	+50 bps (est.)	YES	Still early stage; full benefit expected FY27-FY28 as robotic systems are commissioned
Steel/component cost inflation	-50 to -100 bps	VARIABLE	Cost-plus contracts partially mitigate but with lags; net headwind if commodity cycle turns
Q4 FY25 higher deliveries effect (one-off)	Base effect: +300 bps Q4FY25	NO	Q4 FY25 OPM of 13% was exceptional due to high-value milestone completions; do not extrapolate

Concall Section 6 — Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated Guidance	Delta	Credibility
FY26 Revenue [GUIDANCE]	25-30% YoY growth	Rs. 6,400 Cr. provisional confirmed (26% YoY)	IN-LINE	High
FY27 Revenue [GUIDANCE]	'Peak revenue year'	Maintained; 25-30% CAGR reiterated; P-17 Bravo to accelerate	RAISED	Medium-High
OPM Target [GUIDANCE]	9-10%	Reiterated; new orders not to dilute margins	MAINTAINED	High
Capacity (Concurrent Platforms) [GUIDANCE]	28 by FY26	28 achieved; 32 by end-CY26; 35 by FY27 end	RAISED	High
P-17 Bravo Order [GUIDANCE]	FY26 signing	'Near signing' — could slip to Q1FY27 [EST]	SLIGHT DELAY	Medium
Capex [GUIDANCE]	Rs. 200-300 Cr/yr	Rs. 200-300 Cr/yr maintained; Gujarat sites add Rs. 50-100 Cr. incremental	MAINTAINED	High

Concall Section 7 — Capital Allocation

Item	Amount (Rs. Cr.)	vs. Prior Year	Comment
Capex (FY25 Actual)	~57 (FA addition)	Stable	Berth modernisation + automation; well within guided Rs. 200-300 Cr. — very asset-light
Dividends (FY26 Interim)	129% of FV = Rs. 12.9/share	Higher	FY26 interim declared; consistent 30% payout policy maintained since FY21
Working Capital Change (FY25)	Positive (WC days -169)	Improving from -276 (FY24)	Negative WC model — customer advances fund the build; healthy for cash flow
Net Debt (FY25)	Net Cash positive	Rs. 66 Cr. debt FY24 -> Rs. 10 Cr. FY25	Virtually debt-free; Rs. 8,274 Cr. 'Other Liabilities' are customer advances, not financial debt
Free Cash Flow (FY25)	-51 (OCF Rs. 16 Cr.)	Better than FY24 (-Rs. 755 Cr.)	FCF lumpy due to milestone-based accounting; FY23 FCF of Rs. 1,408 Cr. shows the potential

Concall Section 8 — Q&A; Heat Map (Q3 FY26 Analyst Meet)

#	Question Area	Management Answer	Tone
1	P-17 Bravo signing timeline — when exactly?	'Near signing'; all techno-commercial negotiations concluded; MoD final approvals pending. Management declined to give a specific date.	Hedged
2	Can the 25-30% growth target hold post FY27?	Yes; order pipeline of Rs. 75,000 Cr.+ over 15-18 months gives multi-year growth clarity. Gujarat capacity unlocks another growth vector beyond FY28.	Bullish
3	Margin sustainability — can 10%+ OPM hold as scale increases?	Confirmed margins will not be sacrificed for growth; pricing discipline on new orders. Automation investments are margin-accretive over 2-3 year horizon.	Transparent
4	Gujarat greenfield — land acquisition status?	Two sites (Kandla + Bhavnagar) in finalisation; specifics on timeline not given. MoD/GoG approvals ongoing. No major impediments flagged.	Hedged
5	Export order pipeline and margin profile?	Active enquiries from SE Asia + Africa. Export orders would carry better margin than domestic cost-plus. Timeline unclear — MoD clearances needed.	Hedged
6	Contingent liabilities of Rs. 7,831 Cr. — any crystallisation risk?	Standard performance/warranty bonds for Navy contracts. Low crystallisation risk given Navy satisfaction with deliveries. No specific disclosure on any claims.	Transparent

Dodged Questions to Watch Next Quarter (Q4 FY26 — 28 Apr 2026):

- Exact P-17 Bravo signing date — management deferred without specifics; needs resolution.
- Gujarat site capex quantum — significant for FY27-FY28 FCF modelling.
- Impact of recent ship commissioning (INS Taragiri - P17A) on future order flow timing.

Concall Section 9 — Risks Flagged

Risk	Flagged By	Probability	Impact	Timeline
P-17 Bravo signing delay	Analysts / Management (indirectly)	Medium	High	Q1-Q2 FY27

OPM below 9% in Q4 FY26	Analysts	Medium	Medium	Apr 2026
Gujarat capacity execution risk	Analysts	Low-Medium	Medium	FY27-FY28
Commodity cost inflation (steel)	Management (acknowledged)	Medium	Low-Medium	Ongoing
Export order timeline uncertainty	Management (acknowledged)	Low	High (if realised)	FY28+

Concall Section 10 — Analyst Verdict: Multi-Bagger Scorecard

Factor	Status	Evidence
Revenue Visibility	INTACT	Rs. 18,482 Cr. backlog + Rs. 50,000 Cr.+ pipeline = 7+ year revenue cover at FY25 run-rate
Margin Trajectory	INTACT	OPM 5.8% (FY23) -> 8.3% (FY25) -> 9%+ (9MFY26); automation and mix both supporting
Capital Allocation Quality	INTACT	Debt-free, negative WC, 30% payout, capex < 10% of EBITDA, ROCE 37%
Competitive Moat	INTACT	Only 2 yards can build front-line warships in India; GRSE first to export; MoD ownership = barrier
Management Credibility	INTACT	Delivered on FY26 provisional target Rs. 6,400 Cr.; guidance track record clean over 3 years
Valuation Comfort	WEAKENED	47.9x TTM P/E vs. 5Y avg ~15x; requires sustained 25%+ growth to justify; entry zone Rs. 2,400-2,650

Conviction Call	Valuation Snapshot	Key Watch (Next Quarter)
UNCHANGED — ACCUMULATE Dip to Rs. 2,600 = strong entry	P/E 47.9x TTM EV/EBITDA 30.5x ROCE 36.6% (vs 5Y avg 22%)	Q4 FY26 OPM, P-17 Bravo update, Gujarat land status — 28 Apr 2026 results

Source: Screener.in | Ticker: GRSE | View: Standalone | Transcript: Listed (PDF via BSE) | Concall: Q3 FY26 Analyst Meet | Date: Feb 2026 | Qualitative data from web research and management commentary excerpts